

BC576604 BC576604

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TENTATIVE RULING

1. Who falls within the scope of tenants identified in the class definition? Are children and other occupants not named on the lease or having paid rent or otherwise acted as a tenant under the legal definition members of the class?

The parties agree that a class member must be a tenant or lessee who signed a written lease establishing a HOME tenancy. Distribution of funds, if any, among multiple lessees will be addressed at a later stage in the case.

2. What specific kinds of monetary relief and/or other equitable relief are being sought by Plaintiffs? Are the kinds of monetary relief sought properly classified as restitution or restitutionary disgorgement of profits, or are they damages or other relief not available under the Unfair Competition Law, Business & Professions Code § 17200, et seq.?

The loss recognized by the Court of Appeal does not constitute expectation damages arising from the breach of a contract. The Court of Appeal found Plaintiffs suffered a property loss, which it described as the loss of Plaintiffs' rights to exclusive possession, full use and enjoyment of the leased property and faced the immediate legal peril of being subject to eviction when they were improperly served with a 3-day notice terminating their tenancies. (Campbell v. FPI Management, Inc. (2024) 98 Cal.App.5th 1151, 1163-1167.) The Court of Appeal ruled Plaintiffs are entitled to seek "a restitution award based on the monetary equivalent of the loss of property rights they suffered as a result of FPI's unlawful termination of their tenancies, and to disgorge profits that FPI earned from its unlawful

management practices.” (Id., at 1172.) The Court of Appeal noted that questions about “what specific harms [Plaintiffs] suffered as a result of FPI’s actions, how such harms can be given a monetary value for purposes of establishing a restitution award, or how FPI profited from its unlawful management practices” remain to be “decided at a later stage of the case.” (Ibid.)

Based on these appellate rulings, the Court finds that FPI’s failure to provide the 30-day notice that is required under the HOME program gave rise to a loss of at least 27 days of protected tenancy that may be compensable by way of a restitution award. This is a measure of the lost property interest, not expectation damages under the lease agreement. While the proposed measure offered by Plaintiffs may offer a model for expectation damages in another context, the Court finds it provides a reasonable predicate for restitution here given that the property loss is the protection of a below-market rate leasehold. The Court will hear argument about whether the lost property interest at issue extends to the entire lease term but is not inclined to extend the property lost to potential subsequent lease terms. Later leases are necessarily dependent on annual income recertifications, questions about the communities in which each Plaintiff seeks to reside, and a host of other factors that cannot be said to give rise to an established property right that existed at the time of the failed notice.

With respect to the 27-day loss of tenancy and the potential loss associated with the premature termination of the full lease term, the Court grants Plaintiffs’ request for a schedule (1) allowing targeted discovery addressing whether FPI’s management compensation, contract-retention interests, or employee incentive and evaluation criteria are tied to physical or economic occupancy, gross potential rent, rent collection, delinquency, vacancy duration, or turnover at the class properties; (2) directing the parties to meet and confer promptly after responses are served and, if necessary, request an informal discovery conference to resolve any disputes; and (3) providing for supplemental briefs, with supporting evidence, and a continued hearing on whether Plaintiffs have a colorable theory of restitution based on a prima facie showing that the monetary recovery sought as restitution reflects not only some value lost by Plaintiffs but also some amount acquired by FPI. The Court will discuss the specific schedule at the September 14, 2026 hearing.